COURSE

## OCR A Level Business (H436)

# Revenue, costs and profit

**5. Finance · 5.2 Costs, revenue, profit and loss · 5.2.1, 5.2.3**

Revision for 5. Finance: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **OCR A Level Business (H431 / H436)** | **Revenue, costs and profit** |

THE LESSON

**Setup** — 2 min

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| Firm decisions | Deals | TASK 1 Variable unit cost | TASK 2 Why profit fell |
|---|---|---|---|

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| Firm decisions | Deals | TASK 3 Statement in order | TASK 4 Profit after tax | B2B deal |
|---|---|---|---|---|

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| Firm decisions | Deals | TASK 5 Costs or revenue | TASK 6 Profit next year | B2B deal |
|---|---|---|---|---|

**Final questions** — 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Split the costs.

**Variable cost per car?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Total costs, a month | **£52,350** |
| Fixed costs, a month | **£4,750** |
| Cars sold | **4 cars** |

METHOD

**Variable cost per car = (total costs – fixed costs) ÷ cars**

(£52,350 – £4,750) ÷ 4 = £11,900

**Why:** Take the fixed costs off first. Then share the rest between the cars.

## Task 2

ROUND 1

Revenue rose 10% this year, but profit fell.

**Which two could explain this?**

PICK TWO

- ✔ **Fixed costs jumped this year**
- ○ More cars sold at the same margin
- ○ Overheads fell
- ○ Prices were raised
- ✔ **Variable costs rose faster**

**Why:** Profit falls when costs grow faster than revenue.

## Task 3

ROUND 2

You read your income statement from the top.

**Put these in order, top first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Revenue**
2. **Gross profit**
3. **Operating profit**
4. **Profit for the year**

**Why:** Revenue less cost of sales, then overheads, then interest and tax.

## Task 4

ROUND 2

Year-end figures.

**Profit after tax for the year?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Gross profit | **£73,000** |
| Overheads | **£40,500** |
| Interest paid | **£1,000** |
| Tax on the profit | **25%** |

METHOD

**Profit after tax = (gross profit – overheads – interest) – tax**

£73,000 – £40,500 – £1,000 = £31,500; – 25% = £23,625

**Why:** Tax is taken from the profit after interest: £7,875.

## Task 5

ROUND 3

Revenue is £200,000 and costs £180,000. Raise prices so revenue rises 5%, or cut costs 5%?

**Which raises profit more, and why?**

PICK A OR B AND GIVE A REASON

- ○ Cut costs by 5%
- ✔ **Raise revenue by 5%**

**Why:** 5% of £200,000 is £10,000; 5% of £180,000 is £9,000.

## Task 6

ROUND 3

Next year's plan.

**Profit next year? Minus allowed.**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Revenue | **£105,000** |
| Revenue rises by | **20%** |
| Costs | **£66,000** |
| Costs rise by | **25%** |

METHOD

**Profit = revenue after the rise – costs after the rise**

£126,000 – £82,500 = £43,500

**Why:** Revenue and costs both change. Work out each new figure first.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**2**
of them on revenue, costs and profit

**The game draws the 2 questions on this topic, and 4 more from the 109 Level 3 questions.**

1 A car supermarket records revenue of £1,260,000 and cost of sales of £945,000. What is its gross profit?
**£315,000.**

2 A workshop pays £14,000 a month in rent and salaries plus £38 of parts per service. With 250 services, what are total costs?
**£23,500.**